WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

CAPE VERDE

Africa

Information current as of October 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Praia (Santiago island)	Capital and seat of government; Santiago attracted around half of the value of approved investment in 2024 and hosts the TechparkCV technology park	Government services, financial services, ICT, real estate
Sal	Leading tourism island and principal international air gateway, at the heart of a sector that welcomed a record 1.25 million hotel guests in 2025	Tourism, hospitality, aviation services, real estate
Boa Vista	Second resort island, with large-scale beach tourism and capacity for further integrated resort development	Tourism, hospitality, utilities and services
Mindelo (São Vicente)	Atlantic port city and home of the Special Maritime Economic Zone; Porto Grande is set for an €82 million modernisation tendered in March 2026	Ports and logistics, fisheries and processing, ship services, ICT
Maio	Island designated in 2022 as a Special Economic Zone offering tax and customs benefits	Tourism, real estate, renewable energy
Santo Antão (Porto Novo)	Agricultural and nature-tourism island; Porto Novo port is set for a €32 million upgrade alongside plans for improved air access	Agro-processing, nature tourism, transport
Integrated Tourism Development Zones (ZDTIs)	Designated tourism zones on several islands offering tax and customs exemptions and simplified licensing	Resort development, hospitality, tourist real estate

INVESTOR ENTRY ROUTES

- Cape Verde TradeInvest (CVTI), the national investment and export promotion agency established under Law No. 41/2016, acting as a one-stop shop for investors
- Investment Law (2012) giving equal treatment to foreign and domestic investors, protection against expropriation with market-value compensation, and the right to hold foreign currency accounts
- Code of Fiscal Benefits for qualifying projects, including dividends free of tax in a company's first five years and a flat 10% rate for the following 15 years
- Special Economic Zones: the Special Maritime Economic Zone of São Vicente (Decree-Law No. 17/2024), the Maio Special Economic Zone and the Special Economic Zone for Technology in Praia and São Vicente

- Escudo pegged at about 110.27 escudos per euro under a credit facility agreement with Portugal; foreign exchange operations liberalised in 2018, with repatriation of profits and capital processed by Banco de Cape Verde
- Concession and public-private partnership route, illustrated by VINCI Airports' 40-year concession for the country's seven airports and the 2026 international tender for port modernisation
- Investor-state protection through ICSID membership (2011), the New York Convention (2018) and bilateral investment treaties with 14 countries, including Portugal, Germany, Italy and China

MARKET-ENTRY OBSERVATION

Cape Verde in October 2026 is one of Africa's most stable and steadily improving investment destinations. GDP grew 6.3% in 2025 after 7% in 2024, and momentum has continued into 2026, with growth of 6.4% in the first quarter led by investment (+15.9%) and services exports. Inflation is low at around 1.1%, the policy rate stands at 2.5%, and reserves cover about nine months of imports. Tourism welcomed a record 1.25 million hotel guests in 2025, up 6%, and contributed 4.1 percentage points of growth. CVTI recorded $1.9 billion of approved projects and memoranda in 2024, with tourism and tourist real estate accounting for around 90% of foreign investment. S&P upgraded the sovereign to B+ with a positive outlook in February 2026 and Fitch moved its B rating to a positive outlook in April 2026, citing fiscal consolidation and stronger external buffers. A new PAICV government led by Prime Minister Francisco Carvalho took office in June 2026 following an orderly democratic transition.

Cape Verde's main structural challenge is its public debt, at around 100% of GDP in 2025, together with contingent liabilities in state-owned enterprises in transport and energy. The trajectory, however, is clearly positive: debt has fallen from a peak of 147% of GDP in 2021, the government ran a fiscal surplus of around 1% of GDP in 2025, and Fitch projects debt to fall to about 85% of GDP by 2027. Most of the debt is concessional, long-term and low-cost, and the escudo's euro peg, backed by Portugal, anchors macroeconomic stability. Reform of state-owned enterprises, airport and port concessions and a target of 50% renewable electricity by 2030 are opening space for private capital, supported by a €378 million EU Global Gateway package and a planned €100 million Portuguese credit line for companies investing in the archipelago.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Public debt level	Public debt was around 100% of GDP in 2025, which limits fiscal space, but it is mostly concessional and long-term and has fallen from 147% in 2021	Continued primary surpluses and IMF engagement support further decline; investors can align projects with concessional and DFI co-financing
State-owned enterprise liabilities	Debt of state-owned enterprises, mainly in transport and energy, was close to 48% of GDP at end-2024 and is the main fiscal risk identified by Fitch	SOE reform, concessions and privatisation create entry opportunities in airports, ports, utilities and inter-island transport
Concentration on tourism and European demand	Tourism drives growth, and around 93% of visitors come from Europe, with the UK the largest source market at 29% of arrivals	A broad mix of European source markets spreads risk; diversification into the blue economy, digital services and renewables offers new avenues
Small, island-based market	A population spread across nine inhabited islands raises logistics costs, and the World Bank has highlighted transport connectivity as a priority	Port modernisation, the airport concession and the Special Maritime Economic Zone are improving connectivity and favour export-oriented models
Dependence on imported energy	Imported fuel keeps electricity and desalinated water costs relatively high	The 50% renewables target for 2030, backed by World Bank financing with private participation, opens opportunities in solar, wind and storage
Climate exposure	As a Sahelian island state, Cape Verde is exposed to drought and other climate-related shocks	An IMF Resilience and Sustainability Facility supports climate reforms; water, desalination and resilient infrastructure are investable themes
Political calendar	A new government took office in June 2026 and a presidential election is	Cape Verde's established democratic institutions support continuity; early

Issue	Potential Impact	Possible Mitigation
	scheduled for 15 November 2026, so some policy priorities are still being set	engagement with the new government helps align projects with its programme

INVESTOR RISK NOTE

Cape Verde's risk profile is that of a small, well-governed island economy with strong institutions, a credible currency anchor and steadily improving public finances. The escudo's peg to the euro, low inflation, reserves of around nine months of imports and positive outlooks from both S&P and Fitch in 2026 provide a stable platform for investment. Public debt remains high at around 100% of GDP, but it is largely concessional and on a firm downward path, and the IMF has encouraged the new government to keep it so while addressing fiscal risks in state-owned enterprises. The economy's reliance on European tourism and imported energy is real, and is being addressed through diversification into the blue economy, digital services and renewable energy. The orderly change of government in June 2026 underlines the strength of the country's democratic institutions; investors should follow the policy priorities of the new administration and the presidential election on 15 November 2026 as part of routine planning.

MARKET ACCESS

Cape Verde is a member of the Economic Community of West African States (ECOWAS), giving it a bridge to a regional market of West African economies, although it has postponed implementing the ECOWAS common external tariff. It has been a WTO member since 2008 and enjoys a Special Partnership with the European Union, whose GSP scheme provides preferential access for Cape Verdean exports; the EU fisheries agreement was renewed in February 2025 for five years. Europe is the dominant market for its main export, tourism services, with the UK, Portugal, Germany and France the leading source markets, while Portugal supplies around half of goods imports. The euro peg simplifies trade and investment with the eurozone, and the country's mid-Atlantic position between Europe, Africa and the Americas supports its ambitions as a hub for maritime services, air connectivity and digital infrastructure.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Prime Minister (Francisco Carvalho)	Head of government since June 2026, leading the new PAICV administration and also holding the finance portfolio	Primary reference point for the government's economic programme and investment priorities
Cape Verde TradeInvest (CVTI)	National investment and export promotion agency and one-stop shop for investors; organises the Cape Verde investment forums	Standard first point of contact for project registration, incentives and market-entry guidance
Banco de Cape Verde	Central bank; manages the euro peg, monetary policy and banking supervision, and processes repatriation of profits and capital	Relevant for currency, banking and capital-transfer matters
Ministry of Finance (Secretary of State for Finance Maria José Lopes)	Leads fiscal policy, debt management, SOE reform and relations with the IMF and development partners	Key counterpart for concessions, public-private partnerships and fiscal incentives
Ministry of Economy, Commerce, Industry and Digital Transition (António Baptista)	Oversees industrial, trade and digital policy, including the technology and special economic zones	Relevant for manufacturing, digital and export-oriented investment
Electra (national electricity and water utility)	State utility at the centre of power and water supply and of the energy-sector reform programme	Key counterpart for renewable energy, storage and desalination projects
Bolsa de Valores de Cape Verde	National stock exchange, trading mainly government and corporate bonds and used for privatisation offerings	Relevant for capital-markets participation and future privatisation transactions

CURRENT INTERNATIONAL BUSINESS CHANNELS

Cape Verde TradeInvest is the central business channel, running regular investment forums, including the fourth Cape Verde Investment Forum on Sal in June 2025 and an edition in Milan aimed at Italian and European capital, as well as the Cape Verde–Portugal economic forum held with Portugal's AICEP in July 2026. The Chambers of Commerce of Sotavento (Praia) and Barlavento (Mindelo) are the main domestic business associations. Portugal is the leading identified source of new investment, and the Portuguese government is preparing a €100 million credit line for companies investing in the archipelago. The African Development Bank, the World Bank and IFC, Proparco and DEG are active in infrastructure, energy and private-sector finance, and the EU's €378 million Global Gateway package supports the blue economy, digital modernisation and the energy transition.

INVESTOR PROFILE BEST SUITED

Cape Verde suits investors seeking a stable, euro-anchored entry point to the Atlantic and West Africa: hospitality and tourist real-estate investors building on record visitor numbers and dedicated tourism zones; renewable energy, storage and water investors supporting the 50% renewables target for 2030; ports, logistics, fisheries and maritime-services investors drawn to the Special Maritime Economic Zone in Mindelo; and technology and business-services investors using the technology zone and TechparkCV. Infrastructure investors and DFI-backed sponsors are well placed to participate in concessions and SOE reform, and diaspora-linked and Portuguese-speaking investors benefit from strong cultural and commercial ties.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage Cape Verde TradeInvest and confirm incentive eligibility
Register the project with CVTI to secure investor status, repatriation guarantees and benefits under the Code of Fiscal Benefits.

STEP 2: Build early relationships with the new government
Brief the Prime Minister's office and the relevant ministries on project plans as the new administration sets its priorities, and track the presidential election on 15 November 2026.

STEP 3: Assess zone-based structuring
Compare the Special Maritime Economic Zone in São Vicente, the Maio Special Economic Zone, the technology zone and the Integrated Tourism Development Zones for tax, customs and licensing advantages.

STEP 4: Follow the concession and infrastructure pipeline
Monitor port modernisation tenders, energy-sector opportunities for private producers and SOE reforms, which together form the main route for infrastructure investment.

STEP 5: Structure financing with development partners
Explore co-financing with the African Development Bank, IFC, European DFIs, the EU Global Gateway package and the planned Portuguese credit line to strengthen project economics.